

We need to understand that investing and trading are two completely different subjects. Investing is more about decisions based on fundamental factors such as industry, competition, margins and so on. It requires thorough research. Trading, however, is purely based on price behaviour. We will be carefully observing price movements so that we can identify patterns. These patterns will help us predict the rise and fall in the share price.

If done well, trading can create a lot of capital for the trader by investing a very small amount in a relatively shorter span of time. In trading, we take additional risks to grow our capital at a relatively faster pace. It would be a grave mistake to trade with every penny that we own, and deploy only a part of it.

